development. Major events may be counted as under:

(i) The process of economic reforms started in 1991–92 required active economic participation from the states.

(ii) The constitutional requirement of 'participatory planning' mandated by the 73rd and the 74th Constitutional Amendments was enacted in 1993.

(iii) The arrival of coalition era at the centre when over dozen political parties, having regional affiliations came together to form the Government.

(iv) The recommendations of the Tenth Finance Commission followed by a constitutional Amendment making Alternative Method of Devolution a law in 1995.

(v) Various new needs of the time such as tax reforms, agricultural development, industrial expansion, etc.

The year 2002 could be considered as a watershed in the area of promoting the states' need of financial resources in promoting their developmental requirements. In July 2002, while the Government was setting up the Twelfth Finance Commission (2005–10) the then Minister of Finance announced that in future the Planning Commission will be *playing more or less a role of collaborator to the Finance Commission*. In the same announcement, the Government made one member of the Planning Commission, a member of the Finance Commission too (a symbol of physical and ideological connection between the two bodies).[97] It was as if the Government had accepted the suggestions of the Fourth Finance Commission to a great extent. Though the critics took it as an infringement of a constitutional body by a non-constitutional one, the Government clarified by calling it a symbol for promoting the contemporary needs of the economy and the fiscal federalism.

Another milestone was created in the enactment of the Fiscal Responsibility and Budget Management (FRBM) Act in 2003 which empowers the state Governments to go for market borrowings to fulfill their plan expenditure without prior permission from the central Government (provided they have enacted their respective Fiscal Responsibility Acts).[98] This has boosted the